

**BAKER
HUGHES**

Rpt Date 14/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4				Mud System SYN-TEQ (PARA)											
Job# 1	Spud Date 05/Jul/2006			MD 1639.00 m		Progress 0.00 m		Present Activity Miscellaneous											
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Chris Newton			Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy											
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN										
Drilling Assembly						Casing		Volumes	Pump Information										
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min		
12 1/4		HCC		PDC			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	94.0	0.1157	0			
Drill Collars			Drill Pipe			13 3/8	12.415	1622.00	0	Continental Ensco FA-1600		6 1/2	12.00	94.0	0.1157	0			
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	1639.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	94.0	0.1157	0			
			5	4.276	1234.44				0										
			5	3	36.53				Tot Active										
			5	3	176.34				0	Circulation Times									
			8 1/2	3	9.34				In Storage	Surface to Bit		min/stks		Total System		min/stks			
									833	Bottoms Up		min/stks							
Mud Properties						Max Ann Velocity			Hole Information										
Property			Fluid Spec			1	2	3	AV Riser	ft/min	Standpipe Pressure		psi		Water Depth			152.00 m	
Sample From						Reserve			AV Casing	ft/min	Hole Flow		USgal/min		Riser Booster Rate			USgal/min	
Check Time						22:30			AV Open Hole	ft/min	Solids Analysis								
MD m						1639.00			Vc Open Hole	ft/min	Property	1	2	3	4				
TVD m						1639.00			Vc Drill Pipe	ft/min	LGS %	11.84							
Bit Depth m						1495.00			Min Ann Velocity			LGS lb/bbl	107.86						
Inc deg						1.39			AV Riser	ft/min	HGS %	3.13							
Density ppg			10.00-10.50			10.30			AV Casing	ft/min	HGS lb/bbl	46.06							
Funnel Visc. sec/quart						69.0			AV Open Hole	ft/min	Avg Dens Sol sg	2.9345							
Test Temp degF						80.0			Bit Information										
Rheol Temp degF						120.0			Size	12 1/4 in									
PV cP						23			Hours On Bit										
YP lbf/100ft^2						21			Bit Number										
10sec Gel lbf/100ft^2						7			BHA Number	4	Rheology								
10min Gel lbf/100ft^2						8			Depth In	1636.00 m	600 RPM	67							
HTHP Filtrate cc						4.0			Bit RPM		300 RPM	44							
HTHP Cake in/32						2.0			WOB	klbf	200 RPM	35							
HTHP Temp degF						250.0			Nozzles	7x16	100 RPM	24							
HTHP Pressure psi						500			Bit Hydraulics		6 RPM	7							
Retort Water %						21.0			TFA	1.3744 in^2	3 RPM	6							
Retort Base Fluid %						62.0			Nozzle Vel	ft/sec									
Retort Solids %						17.0			Bit Press Loss	psi									
Corrected Solids																			

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				Rig BULFORD DOLPHIN			

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	0	0	

Additions bbl				Losses bbl		Total Volumes bbl			
Mud Added	824	Weight Materials		Downhole	Left In Pit	Starting Volume		Riser w/o Pipe	
Brine		Water		Cased Off	Trip Losses	Daily Additions	833.1	Casing w/o Pipe	
Base Fluid		Product	9.1	Left In Hole	Injected	Daily Losses		Open Hole w/o Pipe	
Recycled		Other		Discharged	Spill To Environment	Ending Volume	833.1	String Displacement	
				SCE	Onshore Disposal	Net Change	833.1	String Capacity	
				Evaporation	Returned			Total Hole w/ Pipe	
				Other Losses				Total Active	
								Total Reserve	833.0

Miscellaneous	24						
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Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	12781.20	Daily Product Cost	0.00	Primary Product	563753.45
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	39150.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	13681.20	Total Daily Cost	0.00	Primary Total	602903.45
Total Inventory Value	312397.46	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	337.29 UK ton

Product and Service														
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk														
BARITE - Imported	1000 kg	258						258	540.00					0.16
Oil Based Product														
CARBO-GEL	25 kg	120					40	80	264.28		10571.20			2.65
MIL-LIME	25 kg	320					40	280	34.25		1370.00			2.65
OMNI-COTE	55 USgal	8						8	2150.00					
OMNI-MUL	55 USgal			24				24	995.06					
OMNI-PLEX	55 USgal			16				16	1618.95					
OMNI-TEC	55 USgal			16				16	923.00					
Water Based Product														
CALCIUM CHLORIDE (97%)	50 lb	322					40	282	21.00		840.00			2.40
CAUSTIC SODA	25 kg	17						17	37.89					0.07
POTASSIUM CHLORIDE BRINE	1 bbl	189						189	46.85					99.15
XANTHANGUM D	25 kg	40						40	345.22					0.50
LCM														
CALCIUM CARBONATE - FINE	25 kg	120		80				200	21.68					0.02
CALCIUM CARBONATE - MED	25 kg	220						220	21.68					0.07
KWIKSEAL - MEDIUM	50 lb	39						39	70.52					0.06
MIL-PLUG FINE	50 lb	84						84	27.01					
MIL-SEAL MEDIUM	50 lb	90						90	36.00					
SOLUFLAKE F	50 lb	158						158	57.24					
SOLUFLAKE M	50 lb	80						80	57.24					
Other														
SAW DUST	25 kg			30				30	12.50					

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Billy Oququwve/ Kunle Olayinka	234-803-402-0440	Onne	234-84-462609	Lawson Oqaree	13681.20 USD	602903.45 USD	312397.46 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.